

soon the Fed would tighten the money supply and lift interest rates.

As we know, the Fed did the opposite for most of 1986, bonds rallied, and interest rates fell. In September of that bullish year, Mr. Kaufman gave a lecture on the six major causes of the longest and most consequential interest-rate decline in our postwar history. Again, nowhere did he mention he'd missed the last three or four years of it, or why. He concluded by saying that vigorous economic growth would elude us and the bonds would continue to rally, with as much conviction as if he'd been saying this all along.

Having done my homework on the speeches, and curious as to how Mr. Kaufman could have been wrong at every point Mr. Crawford claimed to have been right, I called Mr. Brophy and requested the interview with his boss. Mr. Brophy said that Mr. Kaufman was a very busy man with an active speaking schedule. I tried to imagine why. Then I remembered that I, too, had come all this way to listen to Mr. Kaufman. Mr. Brophy suggested that I get back to him in a day or two.

When I did, Mr. Brophy asked me if I'd read Mr. Kaufman's book. I was unaware he'd even written a book, but I told Mr. Brophy I hadn't had a chance to pick up a copy. Mr. Brophy said the book answered many of the questions I'd probably be asking, so there was no point wasting Mr. Kaufman's time before I'd gone through it.

Mr. Brophy kindly sent me a copy that same day, by courier. It was called *Interest Rates, the Markets, and the New Financial World*, and I spent the evening with it in bed. There was some excellent analysis of our national debt problems and credit problems, but I skipped over all that and turned to the section on forecasting. Here was a detailed description of the three times Mr. Kaufman had made good forecasts—all from 1982 or earlier. There was not a single mention of the losing streak I'd hoped he would explain.

Early the next morning, I called Mr. Brophy and told him I'd finished the book but still had a few questions. He set up a phone interview with Mr. Kaufman, the best he could do.

Mr. Kaufman had a nice telephone voice, but sounded a bit stuffy. I tried to warm him up by asking how many people at Salomon Brothers helped out with the forecasts. He said that 350